

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester II Examination, 2022-23

Paper No. BCF-123: Fundamental of Accounting

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. What is Accounting? Outline the need for accounting and briefly describe the objects of accounting. [14]

OR

Pass journal entries for the following transactions in the books of S Ltd. assuming that both parties belong to the same state and CGST @ 6% and SGST @ 6% are levied: [14]

- (a) Purchased goods for Rs. 1,80,000 from Akanksha & Co.
 - (b) Sold goods for Rs. 3,50,000 to Nupur Store.
 - (c) Returned goods to Akanksha & Co. for Rs. 20,000.
 - (d) Nupur Store returned goods for Rs. 16,000.
 - (e) Paid for Printing and Stationery Rs. 10,000.
 - (f) Goods withdrawn by the proprietor for personal use Rs. 40,000.
 - (g) Goods destroyed by fire Rs. 30,000.
 - (h) Payment made of balance of GST.
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Question 2. Trial Balance of a business as at 31st March, 2022 is given below: [14]

Debit Balances	Amount (Rs.)	Credit Balances	Amount (Rs.)
Stock on 1st April, 2021	25,000	Sales	2,27,800
Furniture	8,000	Commission	500
Plant and Machinery	1,500,000	Returns Outward	1,000
Debtors	30,000	Creditors	40,000
Wages	12,000	Capital	150,000
Salaries	20,000		
Bad Debts	1,000		
Purchases	120,000		
Electricity Charges	1,200		
Telephone Charges	2,400		
General Expenses	3,000		
Postage Expenses	1,800		
Returns Inward	900		
Insurance Premium	1,500		
Cash in Hand	2,500		
Cash at Bank	40,000		
Total	419,300	Total	419,300

Prepare Trading and Profit and Loss Account for the year ended 31st March, 2022 and Balance Sheet as at that date after taking into account the following adjustments:

- Closing Stock was valued at Rs. 7,000.
- Outstanding liabilities for wages were Rs. 600 and salaries Rs. 1,400.
- Depreciation is to be provided @5% p.a. on all fixed assets.
- Included in Plant and Machinery is a machine purchased for Rs. 10,000 on 1st October, 2021.
- Insurance premium paid in advance Rs. 200.

OR

What are Bills of exchange? Give example. Differentiate between bills of exchange and promissory note. [14]

Question 3.

- (a) A and B share profits in the ratio of A: $\frac{5}{8}$ and B: $\frac{3}{8}$. C is admitted as a partner. He brings in Rs. 70,000 as his capital and Rs. 48,000 as goodwill. The new profit-sharing ratio among A, B and C is agreed to be 7 : 5 : 4 respectively. Pass Journal entries. [7]
- (b) X and Y were partners sharing profits in the ratio of 5 : 3 respectively. On 1st April, 2022 they admitted Z as a new partner, all the partners agreeing to share future profits equally. On the date of admission of the new partner, there was a goodwill account in the old firm's ledger showing a balance of Rs. 18,000. The current value of firm's goodwill was placed at Rs. 36,000. Z paid Rs. 50,000 by way of his capital. He also paid an appropriate amount for his share of goodwill. X and Y have written-off the goodwill account before Z's admission. Pass Journal entries. [7]

OR

X and Y were partners sharing profits in the ratio of 5 : 3 respectively. The Balance Sheet of the partnership firm as on 31st March, 2022 was as follows: [14]

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
Capital Accounts:		Goodwill	190,000
X	205,000	Building	85,000
Y	165,000	Machinery	54,740
Profit & Loss Account	56,000	Sundry Debtors	30,000
Sundry Creditors	27,400	Stock	72,630
		Cash at Bank	21,030
Total	453,400	Total	453,400

On the above date, Z was admitted on the following terms:

- (a) Z would get $\frac{1}{5}$ th share in the profits.
- (b) Z would pay Rs. 1,20,000 as capital and Rs. 16,000 for his share of goodwill.
- (c) Machinery would be depreciated by 10% and building would be appreciated by 30%. A provision for bad debts @ 5% on debtors would be created. An unrecorded liability amounting to Rs. 3,000 for repairs to building would be recorded in the books of account.
- (d) Immediately after Z's admission, goodwill account would be written off. Thereafter, the capital accounts of the old partners would be adjusted through the necessary current accounts in such a manner that the capital accounts of all the partners would be in their profit sharing ratio.

Prepare Revaluation account, Capital accounts and the Initial Balance Sheet of the new firm.

Question 4. At the time of admission of a partner, why must assets and liabilities be revalued? Explain and advise how it is treated in the books of account. [14]

OR

D, K and N are partners sharing profit and loss in the ratio of 2 : 2 : 1. N retires on 31-3-2022. The Balance sheet of the firm as on 31-3-2022 was as under: [14]

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
Capital Accounts:		Goodwill	10,000
D	30,000	Machinery	20,000
K	20,000	Investment	10,000
N	10,000	Sundry Debtors	30,000
General Reserve	5,000	Stock	10,000
Investment Fluctuation Fund	2,500	Cash at Bank	5,000
Bad Debts Reserve	2,000		
Creditors	15,500		
Total	85,000	Total	85,000

Following adjustments are agreed at the time of retirement:

- (a) Value of machinery will be Rs. 25,000 and Value of stock is Rs. 5,000.
- (b) Value of investments is Rs. 8,000, which is taken by N at this price.
- (c) An amount of Rs. 5,000 included in creditors is no longer payable.
- (d) The provision for workmen compensation to be credited at Rs. 2,000.
- (e) The provision for doubtful debts is to be kept at 10% on debtors.
- (f) Goodwill of the firm is valued at Rs. 40,000.

Prepare necessary accounts and the balance sheet of the firm after N's retirement.

Question 5. How the Joint Life Policy is recorded at the time of retirement of a partner? [14]

OR

How will you calculate the amount payable to the executors of a deceased partner? [14]